Market Structure for Precision Technicians

Timeline follows the video · all quotes direct from transcript · timestamps accurate to source

0:00

OPENING — CONTEXT & PROMISE

ICT frames the lesson immediately: this is advanced price action theory, never taught to the paid group before. He acknowledges it will cause anxiety and will not be understood in one watch.

> "*this is actually going to be a lesson even my paid mentorship group has yet to see okay so I want to give you something that's fresh something that is deep*"

He anchors the lesson in something he already called publicly — price was going to rally into a specific fair value gap on the NASDAQ daily chart, rebalance, then sell off. That move happened. This lesson goes inside that price action to show exactly how he read it in real time.

ADVANCED THEORY · REQUIRES BACK-TESTING · NOT LEARNED IN ONE WATCH

3:00

DAILY CHART — THE PREMISE ALREADY IN PLACE

Before dropping to any lower time frame, ICT revisits the daily chart context. Price had traded up into a fair value gap, rebalanced, then broken lower.

> "*we were looking for the Run below these lows in here we got that we were looking for a run and rebalance back up into this fair value Gap it did so handsomely*"

He drops to the 1-hour chart. The daily FVG boundaries are marked as hard reference levels. Everything that follows happens inside that range.

BEARINGS CHECK

High end of daily FVG = long-term high for this analysis. Price should not break above it while the bearish premise holds. If it does, the analysis is wrong — "it's a losing transaction does not mean your model is flawed it does not mean that you're a failed Trader it just means that that transaction was not a profitable one and it's just a cost of doing business."

DAILY FVG · BEARISH PREMISE · 1-HOUR CHART

6:00

THE ONLY QUESTION THAT MATTERS BEFORE EVERY SESSION

ICT rejects all retail framing — higher high/higher low, harmonics, Elliot wave, trend lines — and replaces it with a single four-part question:

THE NUMBER ONE QUESTION

"is it likely to go up for stops or go down for stops or is it going to go higher to rebalance or lower to rebalance — that is the number one question that I have before I sit down in front of my charts that's what I'm looking for what is the current market narrative"

That produces four possible scenarios:

SCENARIO 1

"is it likely to go up for buy side liquidity or buy stops"

SCENARIO 2

"is it likely to go lower to sweep out short-term lows for sell side liquidity or sell stops"

SCENARIO 3

"is it likely go up to rebalance an imbalance which is like a fair value Gap"

SCENARIO 4

"is it likely to go down to rebalance and old imbalance or a fair value Gap below market price"

STUDY TASK

Before reviewing any chart, write down which of the four scenarios applies and why. Do not proceed until you can state it clearly in one sentence.

10:00

INSIDE THE 1-HOUR CHART — THE THREE SWING TIERS

> "*I've outlined Market structure in the idea of long-term High long-term low short-term High short-term low and in between those two swing points there's an intermediate term High and an intermediate term low*"

LONG-TERM HIGH / LOW

Set by the higher time frame context — the boundaries of the daily FVG. Price is not expected to break these while the premise holds.

SHORT-TERM HIGH / LOW

The standard 3-candle swing: lower high to the left, lower high to the right (for a high). Already established in previous episodes.

INTERMEDIATE-TERM HIGH / LOW — NEW THIS LESSON

Sits between long-term and short-term. Formed in a specific way. This is the new concept at the heart of this lesson.

The long-term high is immediately set as the invalidation level. If price closes above it, ICT demands more information and steps aside.

14:00

NEW CONCEPT — WHAT CREATES AN INTERMEDIATE TERM HIGH OR LOW

NEW

CLASSIFICATION 1 — THE REBALANCE EVENT (PRIMARY)

"every rebalance of an old imbalance That Swing that's created at that moment I immediately label that in my mind as an intermediate term high or… an intermediate term low"

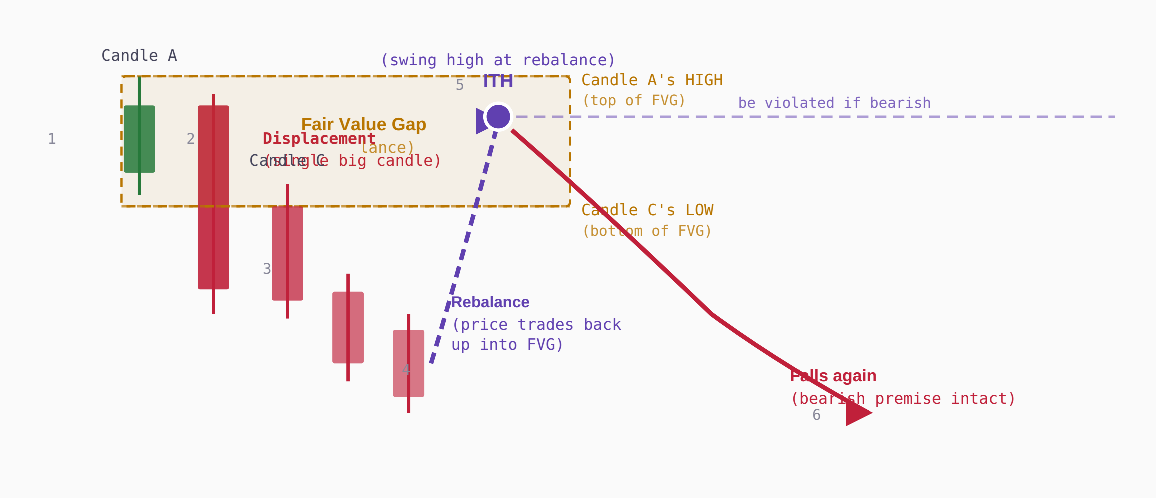
The sequence ICT describes: a single big displacement candle creates a fair value gap (previous candle's high = top of FVG, next candle's low = bottom of FVG). When price later trades back into that zone to rebalance it, the swing high formed at the peak of that rebalance is immediately — in his mind, not on the chart — labelled an ITH.

CLASSIFICATION 2 — STRUCTURAL POSITION

"it is a short-term High that has a lower short-term High to the left of it and a lower short-term High to the right of it"

ICT stresses he labels these in his mind, not on the chart — annotations are a distraction during live trading.

DIAGRAM 1 — BEARISH FVG: DISPLACEMENT → REBALANCE → ITH FORMED AT SWING HIGH



EXPECTED BEHAVIOUR AFTER ITH FORMS

"the usefulness of that is if we're bearish and it rebalances like this the next shortterm high should be lower than that intermed term high if it trades higher than that then your trade ideas probably flawed"

ITH/ITL FORMATION | CLASSIFICATION 1 — REBALANCE EVENT | CLASSIFICATION 2 — FLANKING STHS

23:00

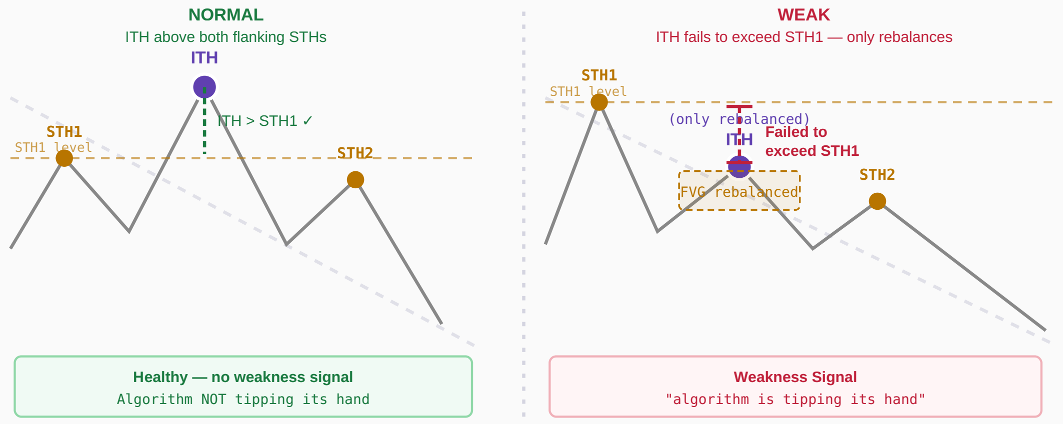
NEW CONCEPT — THE WEAKNESS SIGNAL NEW

ICT says this specific idea is something he pioneered himself and has never previously taught. It answers the question students ask constantly: how do you know whether to sell above an old high or expect it to keep going?

> **WEAKNESS SIGNAL**
>
> *"if the intermedi term high is not higher than two short-term highs that is telling you that the market is very weak and the algorithm is tipping its hand to those people that are looking at it like this"*

In a normal healthy rally, the intermediate term high should sit **above** both short-term highs that flank it — it should be the tallest point in the sequence. When it is not — when the rally only managed to rebalance a fair value gap but could not push above the prior STH — that is the weakness signal.

DIAGRAM 2 — NORMAL ITH (HEALTHY) VS. WEAK ITH (WEAKNESS SIGNAL) · BOTH IN BEARISH DECLINING CONTEXT



This is what ICT was watching form in real time as the green candles were printing on the 1-hour chart. Because the rally only rebalanced and did not exceed the prior STH, he already knew the next short-term high would also fail.

> **WHAT TO WATCH FOR**
>
> When price rallies into a FVG and forms a swing high: is that high above or below the prior short-term high? If below — the rally was only strong enough to rebalance, not to extend — that is the weakness signal.

WEAKNESS SIGNAL | ITH BELOW STH1 = WEAK | ICT-PIONEERED CONCEPT

24:00

NEW CONCEPT — ORDER BLOCK REDEFINED NEW

BEARISH ORDER BLOCK — CORRECT DEFINITION

"the order block is one consecutive series of up closed candles it's not the last candle before the down move... order block theory is much more than just simply the last up close candle before down move"

He connects this to the ITH: because the ITH was labelled from the rebalance event and the weakness signal confirmed the market was too weak to break above it, he was watching those up-closed candles form with one expectation — this run will fail. That entire consecutive series of candles is the order block. Inside that range he hunts fair value gaps for entry.

WHAT TO HUNT INSIDE THE ORDER BLOCK

"these up closed candles from the hourly perspective that's the range for my hourly order block inside that range I can be hunting fair value gaps"

OB = FULL CONSECUTIVE SERIES · FVG INSIDE OB · NOT THE LAST CANDLE

30:00

THE DAILY CHART AS PARENT — TIME FRAME HIERARCHY

> *"since I am expecting the daily chart to be the parent of this price structure all minor lower time frame swings are going to be subordinate to it"*

> *"the logic is based on that daily chart that it's going up into this imbalance to go lower the hourly chart frames my trade it gives me what I'm looking for to start hunting entry techniques now the 15-minute time frame that's the Bell weather this is where it's going to give me the actual get in get out"*

He also clarifies: he does not go into lower time frames and mark out all swing highs and lows — "that's Overkill." He only needs to know what he's looking for on the trading time frame.

FIBONACCI TARGET — WHEN INTERMEDIATE TERM LOW IS BROKEN

"if you anchor your FIB to the interm term High down to that low which is a long-term low the projection is -1 1/2 standard deviation and there's your low"

*Anchor to the **ITH, not the long-term high** — because "the retracement that fails that starts the decline begins here at that intermate term high." The ITH is where the decline began.*

DAILY = PARENT · HOURLY = FRAME · 15-MIN = ENTRY · FIB: ITH → LTL · TARGET: -1.5 STDDEV

37:00

TWO ENTRY TYPES — AGGRESSIVE VS. CLASSIC

ENTRY TYPE 1 — AGGRESSIVE

Inside the order block, before price breaks below it. A FVG forms within the up-closed candle series. Enter there. No swing low needs to be broken first — confidence comes from market structure alone.

"notice I don't need a swing low broken notice that... you don't need a swing low being broken because you have the idea based on Market structure suggesting that this is exceedingly weak"

ENTRY TYPE 2 — CLASSIC / LOW RISK

Price breaks below the order block, then retraces back up into it. That retrace into the order block or the FVG within it is the entry.

"classic lowrisk High confirmation short entry is the classic return back to an order block after a trade down below it here's your little Gap here trade into it there's your short"

STOP PLACEMENT & RISK PROFILE

"the Heat or the draw down in the trade is limited to just that candle but your stop has to be here and you're expanding lower for a Target that's many times over what your risk is"

KEY DIFFERENCE

The aggressive entry requires the full market structure analysis before price arrives. The classic entry waits for confirmation after the break. Both use the same order block range. Stop for both goes above the order block high.

AGGRESSIVE — FVG INSIDE OB, NO BMS NEEDED

CLASSIC — RETURN TO OB AFTER BREAK

STOP ABOVE OB HIGH

46:00

NEW CONCEPT — INSTITUTIONAL ORDER FLOW (CANDLE COLOUR RULE) NEW

THE CORE RULE

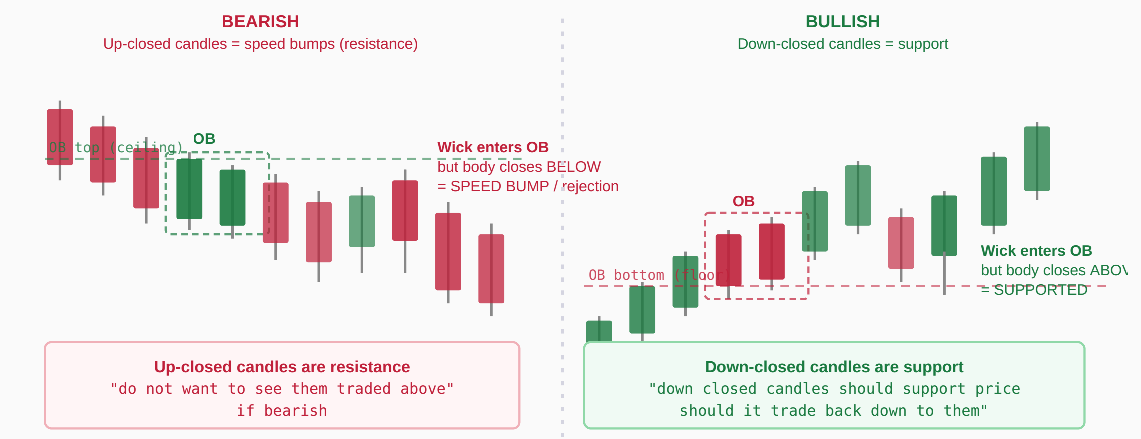
"price swings that are bullish down closed candles are your support · price swings that are bearish up closed candles are your resistance"

When bearish: any up-closed candles that form during the decline are "speed bumps." Price may return and touch them but should not close above them.

> *"the market trades higher yes but does it overtake this up Clos candle no it just trades back up into it a little bit but doesn't go above it… so it acts as real resistance that's institutional orderflow"*

When bullish: down-closed candles during the rally should support price if it retraces. Price should not close below them — unless a short-term low with sell stops is directly below, in which case a brief dip and recovery is acceptable.

DIAGRAM 3 — INSTITUTIONAL ORDER FLOW: PRICE RETURNS TO CANDLE LEVEL AND IS REJECTED (BEARISH) OR SUPPORTED (BULLISH)



INVALIDATION RULE

"if that in term high is broken and you're bearish then you got to move through the sidelines and don't go in again wait for more setups in the future… you just can't force it"

HOW TO USE THIS WHILE IN A TRADE

While in a bearish trade: watch each up-closed candle. Does the next candle close above it? If the pattern repeats — and especially if the ITH is also broken — exit and step aside. Do not attempt to re-enter until market structure is back in sync.

INSTITUTIONAL ORDER FLOW | UP CANDLES = RESISTANCE (BEARISH) | DOWN CANDLES = SUPPORT (BULLISH) | SPEED BUMPS

55:00

WHEN TO BE NEUTRAL — THE PROBABILITY FILTER

PROBABILITY FILTER

"if you can very easily communicate it in your analysis that it's likely to go higher but it's a real hard stretch to sell it for a bearish idea that's high probability · if you can frame it bearish but have a hard time defining it in a bullish perspective that's high probability"

The high-probability direction is the one that is **easy to argue**. When both directions feel equally possible, the signal is to do nothing.

> *"I Am neutral right now I am not taking any trades… neutral because I can't justify it one-sidedness"*

DAILY PRACTICE

Before every session, try to argue both the bull case and the bear case from the daily chart. Whichever is harder to argue is the lower probability direction. If neither argument comes easily, step aside entirely.

NEUTRALITY RULE | PROBABILITY FILTER | EASY TO ARGUE = HIGH PROBABILITY

65:00

CLOSING — WHY THE MARKET ONLY DOES TWO THINGS

ICT lists every retail discipline — harmonic patterns, Elliot wave, supply and demand, volume profile, Wyckoff, range bars, Ichimoku — and asks: if the market followed any of these, how would it decide which to follow on any given day? They all give conflicting signals.

> "*all of those disciplines do not agree all of them they're at odds with one another… how is it that the market determines which discipline it's going to use for that given time period or that day that's nonsense*"

> **THE ONLY TWO PRINCIPLES**
>
> "*imbalance rebalance run for liquidity that's it it does not do anything else… liquidity going above old highs for buy stops going below old lows for sell stops or rebalancing or creating imbalance so it's imbalance rebalance run for liquidity that's it*"

He explains why a one-candle move creates a fair value gap that price returns to fill:

> "*it went down too quick it wasn't offering enough time for anyone that wants to buy it so it goes back up once it does that it rebalances right there spends a little bit of time and then displacement again… the algorithm is allowing efficiency for Price delivery*"

> **THE CLOSING RIDDLE**
>
> "*why does it respect the levels I'm teaching here in the logic from imbalance to liquidity… maybe it's because this is the market maybe it's because this is the algorithm — I'll leave that with you to decide*"

IMBALANCE / REBALANCE | RUN FOR LIQUIDITY | ONLY TWO PRINCIPLES